

25STCV24814 25STCV24814

County: los-angeles

Division: Civil Law and Motion

Department: 733

Hearing date: 2026-08-04

Motion: CROSS-DEFENDANTS WEST COAST INSULATION, INC. AND MNI HOLDING COMPANY'S MOTIONS TO SET ASIDE DEFAULT

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Case Number: 25STCV24814 Hearing Date: August 4, 2026 Dept: 733

SUPERIOR COURT OF THE STATE OF CALIFORNIA

FOR THE COUNTY OF LOS ANGELES

DRR, LLC, a California limited
liability company,

Plaintiff,

vs.

WEST COAST INSULATION, INC., a California corporation; MNI
HOLDING COMPANY, a Florida limited liability company; DOES 1 through 25,
inclusive,

Defendants.

AND RELATED CROSS-ACTIONS.

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CASE

NO.: 25STCV24814

[TENTATIVE] ORDER RE: CROSS-DEFENDANTS

WEST COAST INSULATION, INC. AND MNI HOLDING COMPANY'S MOTIONS TO SET ASIDE
DEFAULT

Dept. 733

8:30 a.m.

August 4, 2026

I.

INTRODUCTION

On August 22,
2025, Plaintiff DRR, LLC ("Plaintiff" or "DRR") filed a complaint against
Defendants West Coast Insulation, Inc. ("West Coast") and MNI Holding Company
("MNI") ("Defendants"), alleging causes of action for (1) Breach of Written
Lease Agreement, (2) Trespass, (3) Nuisance, (4) Waste and Injury to Real
Property, (5) Negligence, (6) Violation of Business and Professions Code
§ 17200 et seq., (7) Equitable Common Law Indemnity, (8)
Declaratory and Injunctive Relief.

DRR alleges the following. MNI is the parent company of West Coast. On or about November 7, 2016, DRR and West Coast entered into a written Commercial Lease Agreement (the "Lease") for real property located at 2389 Tripaldi Way, Hayward, California (the "Premises"). The Premises is a light industrial facility comprising approximately 8,800 square feet, including a yard and related improvements. (Compl., ¶ 11.)

On or about June 25, 2021, the parties executed a First Amendment to Lease, which extended the Lease term through December 31, 2026, with set monthly rental increases. (Id. ¶ 12.) The Lease, as amended, includes Section 13.1, which provides that: "Should the Premises be destroyed in whole or in part by fire, earthquake or other accident of calamity, to such an extent that in the opinion of the Lessor it is not feasible to repair them, then this Lease shall terminate and all parties shall be released from any further liability thereon..." (Id. ¶ 13.)

On or about April 8, 2024, a catastrophic fire occurred on the Premises. The building was destroyed. (Id. ¶ 14.) Following the fire, DRR determined in good faith and in the exercise of its sole discretion under Section 13.1 of the Lease that it was not feasible to repair or restore the Premises to a usable state. DRR therefore elected to terminate the Lease in accordance with Section 13.1. (Id. ¶ 15.)

West Coast hired MSE Environmental ("MSE") as a contractor to remove the debris and West Coast's personal property that remained in the Premise. (Id. ¶ 16.) Instead of disposing of West Coast's Personal Property, which West Coast was required to do under the Lease as part of vacating the Premises, under Section 19, MSE merely removed West Coast's Personal Property from the destroyed building and placed it elsewhere outside the building but on the Premises. West Coast thus began using the Premises as storage space for West Coast's Personal Property, without paying rent. (Id. ¶ 16.)

On April 23, 2026, the Court Clerk entered default as to both West Coast and MNI.

On May 29, 2026, Defendants

filed the instant motions to set aside default.

On July 16, 2026, DRR
filed oppositions.

On July 28, 2026,
Defendants filed a joint reply.

II.

LEGAL STANDARD

Code of Civil Procedure section 473, subdivision (b)
provides for either discretionary or mandatory relief from certain prior
actions or proceedings in the trial court. (*Luri v. Greenwald* (2003) 107
Cal.App.4th 1119, 1124.)

“Under the discretionary relief provision, on a showing of
“mistake, inadvertence, surprise, or excusable neglect,” the court has
discretion to allow relief from a “judgment, dismissal, order, or other
proceeding taken against” a party or his or her attorney. Under the mandatory
relief provision, on the other hand, upon a showing by attorney declaration of
“mistake, inadvertence, surprise, or neglect,” the court shall vacate any
“resulting default judgment or dismissal entered.” [Citation.] Applications seeking
relief under the mandatory provision of section 473 must be ‘accompanied by an
attorney’s sworn affidavit attesting to his or her mistake, inadvertence,
surprise, or neglect.’ The mandatory provision further adds that ‘whenever
relief is granted based on an attorney’s affidavit of fault [the court shall]
direct the attorney to pay reasonable compensatory legal fees and costs to
opposing counsel or parties.’” (*Ibid.*; Code Civ. Proc., § 473,
subd. (b).)

The party seeking such relief must do so “within a reasonable
time, in no case exceeding six months, after the judgment, dismissal, order, or
proceeding was taken.” (Code Civ. Proc., § 473, subd. (b); see *Rappleyea v.*
Campbell (1994) 8 Cal.4th 975, 980 [“because more than six months had
elapsed from the entry of default, and hence relief under section 473 was
unavailable”] (*Rappleyea*.) This time limit is jurisdictional. (*Austin*
v. Los Angeles Unified School Dist. (2016) 244 Cal.App.4th 918, 928; *Rappleyea*,
supra, 8 Cal.4th at pp. 981–982 [“Beyond this period there is a strong
public policy in favor of the finality of judgments and only in

exceptional circumstances should relief be granted.' "].) That said, where a party seeks mandatory relief on the basis of attorney neglect, the court conducts no inquiry into a party's diligence in seeking relief; as long as the application is made in proper form and six months have not passed, the court must grant relief "notwithstanding any other requirements of [the] section" (Code Civ. Proc., § 473, subd. (b).)

Courts liberally grant motions to vacate default judgments when relief is promptly sought, and the opposing party is not prejudiced as the law strongly favors resolution on the merits. (*Kramer v. Traditional Escrow, Inc.* (2020) 56 Cal.App.5th 13, 28; see also *Frank E. Beckett Co. v. Bobbitt* (1960) 180 Cal.App.2d Supp. 921, 928 (*Bobbitt*), quoting *Robinson v. Hiles* (1953) 119 Cal.App.2d 666, 673 ["[I]t is the policy of the law to bring about a trial on the merits whenever possible, so that any doubts which may exist should be resolved in favor of the application, to the end of securing to a litigant his day in court and a trial upon the merits."].) Courts only require "slight evidence" to support vacating a default and resolve all doubts in favor of the party seeking relief. (*Kramer*, supra, 56 Cal.App.5th at p. 28.) However, "[t]he only occasion for the application of section 473 is where a party is unexpectedly placed in a situation to his injury without fault or negligence of his own and against which ordinary prudence could not have guarded." (*Hearn v. Howard* (2009) 177 Cal.App.4th 1193, 1206, quoting *Elms v. Elms* (1946) 72 Cal.App.2d 508, 513.)¿¿

"Even in a case where the showing under section 473 is not strong, or where there is any doubt as to setting aside of a default, such doubt should be resolved in favor of the application."¿ (*Bobbitt*, supra, 180 Cal.App.2d Supp. at p. 928, quoting *Van Dyke v. MacMillan* (1958) 162 Cal.App.2d 594, 598, italics in *Bobbitt*.)¿

III.

EVIDENTIARY OBJECTIONS

DRR objections to certain portions of Declarations of David Love filed in support of the instant motions. The Court overrules DRR's objections.

IV.

DISCUSSION

Both West Coast

and MNI move to set aside default on the grounds of party mistake,

inadvertence, surprise, and excusable neglect pursuant to the discretionary provision of Code of Civil Procedure section 473(b). (Code Civ. Proc., § 473(b) ["The court may, upon any terms as may be just, relieve a party or his or her legal representative from a judgment, dismissal, order, or other proceeding taken against him or her through his or her mistake, inadvertence, surprise, or excusable neglect"].)

Defendants

provide that following. After MNI was provided with copies of the summons and complaint by another representative of MNI on March 23, 2026, there was confusion if the Complaint was the same lawsuit as the pending litigation against WCI titled Farmers Insurance Exchange v. West Coast Insulation. Inc., et al. filed on July 31, 2025 in Alameda Superior Court, bearing case number 25CV134452 ("Farmers Action") because it appeared to involve the same fire loss on April 8, 2024, same property at 2389 Tripaldi Way, Hayward, California ("Property"), same landlord, DRR LLC, and same Commercial Lease Agreement between DRR LLC and West Coast. (Love Decl., ¶ 5.) That day, MNI immediately notified MNI's and West Coast's insurance broker of the lawsuit, provided the process documents and directed them to provide to the appropriate insurance carriers. (Id. ¶ 7.)

MNI relied on and

expected National Claims/USIC to promptly assign defense counsel and timely file responsive pleadings on MNI's and West Coast's behalf, or at a minimum, request extensions to file responsive pleadings as necessary, as was done in the related Farmers Action. National Claims/USIC had promptly assigned Springel & Fink LLP to represent West Coast in the Farmers Action. (Id. ¶ 10.)

After being notified of the entries of default entered against MNI and West Coast on April 28, 2026, MNI told MNI's and West Coast's insurance broker and National Claims/USIC adjusters, Ryan Reese and Christy Gumper of the entries of default. (Id. ¶ 13.) Later that same day on April 28, 2026, Ryan Reese responded that National Claims/USIC assigned Darren Ebner, Esq. and Kayla Le, Esq. of Springel & Fink, LLP as defense counsel for MNI and West Coast to attempt to resolve the entries of default. (Id. ¶ 14.)

This is sufficient for the Court to

grant the motions. (Fasuyi v. Permatex, Inc. (2008) 167 Cal. App. 4th 681, 694 ["This was a classic instance of mistake and inadvertence—but not on the part of [Defendants], which did what all corporations do when served with a complaint: send it to the carrier."]; see also Purdum v. Holmes (2010) 187 Cal.App.4th 916, 922 (Purdum).) (citations omitted) ["The policy of the law favors a hearing on the merits. Therefore, when a party in default moves promptly to request relief, 'very slight evidence is required to justify a trial court's order setting aside a default. [Citation.]'""]; Rappleyea v. Campbell (1994) 8 Cal.4th 975, 980 ["Because the law favors disposing of cases on their merits, 'any doubts in applying section 473 must be resolved in favor of the party seeking relief from default.' "].)

V.

CONCLUSION

West Coast and

MNI's motions to set aside/vacate default is GRANTED. Default is set aside as to these Defendants.

Dated this 4th
day of August 2026

Hon. Gary
D. Roberts

Judge
of the Superior Court